

↑ Decoding Digital Marketing

KPI

↳ Key Performance Insights/Index

SEO → Search Engine Optimization

↑ Reach vs Impression

↳ Every click or view
↳ Unique click or view

↑ Rank & ↑ Increased Traffic

↑ Conversion

↳ Viewer → Customer (Qualified Visitor)

↑ Marketing Objectives

- ① Increase website traffic
- ② Increase app downloads
- ③ Improve brand awareness
- ④ Generate leads

CPC → Cost Per Click

CTR → Click Through Rate

ROI → Return on Interest

↳ Collect info from customer
↳ Capture audience interest

↑ SMART Marketing Objectives

- ① Specific (Define properly what you want to achieve)
- ② Measurable (Attach a metric to track progress)
- ③ Achievable (Set realistic goal)
- ④ Relevant (Align with broader business priorities)
- ⑤ Time-Bound (Set a clear deadline for achieving the goal)

↑ Q. What is SMART framework?

↑ Marketing Campaign

A mc is a planned set of activities used to promote a product, service, or brand to a target audience for specific goal.

Shayan / ②

The goal can be:

- Increase sales
- Get websites visitors
- Promote a new product
- Increase app downloads
- Build brand awareness

→ Digital Marketing Analytics

- ① Google Analytics
- ② Meta Ads Manager
- ③ Google Search Console

→ Marketing campaign [example]

→ KPI

A quantifiable metric used to
→ evaluate how effectively a campaign
or strategy is achieving its objective

→ The Ultimate Goal:
Conversion

- ① Purchase
- ② Sign-up
- ③ Download
- ④ Lead

Objective	KPI to track	CTR	CPC
Increase sales	Conversion rate	7 40%	6.25¢
Boost engagement	Likes/Comments/Shares	1 60%	7.778¢
Drive traffic	Website visitors/Sessions	1 5%	12¢
Grow brand awareness	Reach & Impressions		
Reduce ad costs	CPC/CPM		

→ Engagement Rate

$$\text{Engagement Rate} = \frac{\text{Tot Engagement}}{\text{Tot Audience}} \times 100\%$$

→ Common DM KPIs

- ① CTR
- ② CPC
- ③ Conversion Rate (Purchase or sign up)
- ④ RoI
- ⑤ Reach
- ⑥ Impressions
- ⑦ Bounce Rate ↑ bad ↓ good
(People who leave after
visiting one page)

→ Click-Through Rate (CTR)

$$\text{CTR} = \frac{\text{Clicks}}{\text{Impressions}} \times 100$$

Strong CTR ~ Better Ad placement

→ CPC (Cost Per Click)

$$\text{CPC} = \frac{\text{Total Ad Spend}}{\text{Total Clicks}}$$

CPC ↑ bad ↓ good

→ The Ultimate Goal: Conversion

- ① Purchase
- ② Sign up
- ③ Download
- ④ Lead

A conversion happens when a user completes a desired action that creates business value.

Significance: Conversion generates revenue without increasing linear cost and increasing ROI.

→ Conversion Rate

$$\text{Conversion Rate} = \frac{\text{Conversions}}{\text{Visitors}}$$

MOST
IMPORTANT
KPI

Average conversion rate: 1-4%.
(Industry grade) Exceeding 5% is considered high.

Q. Is your campaign successful?

→ find conversion rate

→ if 1-4%:
↳ normal

→ if ≥ 5%:
↳ successful

→ Understanding User Behavior

Bounce Rate: measures the percentage of visitors who land on your page and leave without taking any further action.

$$\text{Bounce Rate} = \frac{\text{Single Page Visits}}{\text{Total Visits}} \times 100\%$$

△ Higher Bounce Rate

Mismatch between ad promise & landing page reality.
— Indicating poor user experience.

Reasons:

- ① Irrelevant Content
- ② Poor UX or speed
- ③ Weak Call-to-Action

→ Return on Investment

□ One of the most important metrics

Tells whether the money you spend on ad campaign actually paid off.

$$RoI = \frac{(\text{Revenue} - \text{Cost})}{\text{Cost}} \times 100\%$$

Measures profitability of a campaign relative to its cost.

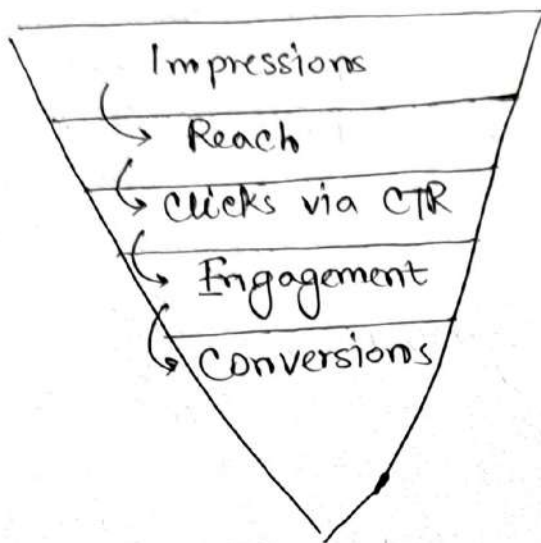
↑ RoI = Profit

↓ RoI or negative = अनुमानित loss

□ Why track RoI

- Budget justification (prove to stakeholders that it's worth spending)
- Guide strategy (low RoI → pivot, high RoI → double down)
- Compare campaigns
- Drive growth (Reinvest profit into the most effective channels)

→ The Interplay of Metrics



→ Practice Problems

① CTR

$$\text{clicks} = 250$$

$$\text{impressions} = 5000$$

$$\text{CTR} = \frac{\text{clicks}}{\text{impressions}} \times 100\%$$

$$= \frac{250}{5000} \times 100$$

$$= 5\%$$

③ Conversion Rate

$$\text{Conv.} = 80$$

$$\text{Visitors} = 1440$$

$$\therefore \text{CR} = \frac{\text{Conversion}}{\text{Visitors}} \times 100\%$$

② CPC

$$\text{cost} = \$300$$

$$\text{clicks} = 600$$

$$\text{CPC} = \frac{\text{Total Cost}}{\text{Total clicks}}$$

$$= \$0.5$$

	Impressions	Clicks	Purchases	Ad Cost	Revenue
FB	200,000	8,000	320	50,000	160,000
Instagram	150,000	9,000	450	70,000	240,000
G/A	100,000	5,000	400	60,000	220,000

CT → next week

$$\text{FB} \rightarrow \text{RoI} = \left(\frac{160000 - 50000}{50000} \right) \times 100\%$$

$$= 220\%$$

$$\text{Instagram} \rightarrow \text{RoI} = \left(\frac{240000 - 70000}{70000} \right) \times 100\%$$

$$= 242.85\%$$

$$\text{G/A} \rightarrow \text{RoI} = \left(\frac{220000 - 60000}{60000} \right) \times 100\%$$

$$= 266.67\%$$

Conversion Rate

$$\frac{\text{Conversion}}{\text{Visitors}} \times 100\%$$

$$\text{FB} \rightarrow \frac{320}{8000} \times 100 = 4$$

$$\text{IG} \rightarrow \frac{450}{9000} \times 100 = 5$$

$$\text{GA} \rightarrow \frac{400}{5000} \times 100 = 8$$